

Profit Niti AI CFO Report

1 Executive Overview — Business Health Assessment

High-level performance summary and key indicators

Performance Summary

The business is in a critical financial state, operating at a significant and persistent loss. The company has a negative total equity of -₹408 million, meaning liabilities far exceed assets. While sales showed a strong quarter in Q4 FY25 (₹3,715 million), they dropped sharply to ₹967 million in Q1 FY26. The core issue is a gross margin that has been deeply negative for four consecutive months, with costs of goods sold consistently exceeding revenue by a wide margin.



Strengths & Positives

- **Strong Revenue in Q4:** Achieved sales of ₹3,715 million in the last quarter of FY25, indicating market demand.
- **Reducing Long-term Debt:** Secured borrowings decreased from ₹383M to ₹266M, improving the debt profile.
- **Healthy Cash Balance:** Maintains a stable cash reserve of over ₹217 million, providing a crucial buffer.



Areas for Improvement

- **Severe Profitability Crisis:** Gross margin is negative (-60.7% in April), meaning the core business model is selling at a loss.
- **Negative Equity & Accumulated Losses:** Total equity is -₹408M, eroding the company's net worth and financial stability.
- **High Operating Cash Burn:** Cash flow from operations was -₹113M in April, rapidly depleting cash reserves.

CFO Recommendation

Priority Action

Immediately conduct a thorough review of your cost of goods sold (COGS) and pricing strategy. The business cannot survive selling products for less than it costs to produce them. You must either increase prices significantly or find drastic cost reductions in your supply chain to achieve a positive gross margin.